

Recording and Reporting Financial Position

Course notes - Department of Management

1. The accounting equation

Assets equal liabilities plus equity, at every instant. Every transaction preserves this identity, which is what double-entry bookkeeping enforces mechanically.

Each entry has equal debits and credits. Debits increase assets and expenses; credits increase liabilities, equity and revenue. A trial balance that does not balance indicates an error, though balancing does not prove correctness.

2. The accounting cycle

Transactions are recorded in the journal, posted to ledger accounts, and summarised in a trial balance. Adjusting entries then record accruals, deferrals, depreciation and estimates before the statements are prepared.

Temporary accounts are closed to equity at period end so that revenue and expense measurement starts afresh, while balance sheet accounts carry forward.

3. The financial statements

The income statement reports performance over a period. The balance sheet reports position at an instant. The cash flow statement reconciles profit to cash movement across operating, investing and financing activities.

Profit and cash differ because of accrual accounting. A profitable business can fail from insufficient cash, which is why the cash flow statement is read alongside the others rather than after them.

4. Accruals and matching

Revenue is recognised when earned and expenses when incurred, not when cash moves. The matching principle pairs expenses with the revenue they generate, which is the basis of depreciation and of provisions for doubtful debts.

Depreciation allocates an asset's cost over its useful life. Straight-line spreads it evenly; reducing-balance charges more early. Neither attempts to track market value.

5. Ratio analysis

Liquidity ratios such as the current ratio assess short-term solvency. Profitability ratios such as return on equity assess performance relative to invested capital. Gearing ratios assess reliance on debt.

Ratios are comparative instruments: meaningful against the same firm over time or against industry peers, and largely meaningless in isolation.